

THE DAILY BRIEF

SEPTEMBER 18, 2026

MARKETS & FINANCE

Major market moves and financial news

Stocks Rebound After Fed's First Rate Hike Since 2023. The S&P 500 climbed 1.1% and the Nasdaq rose even further on Thursday as markets retraced the post-Fed selloff. The 10-year Treasury yield fell back below 5% (to 4.957%) after oil retreated, giving risk assets room to breathe. Federal Reserve Chair Kevin Warsh's 12-0 vote to lift the federal funds rate from 3.50%–3.75% to a new target of 3.75%–4.00% — the first hike since July 2023 — initially spooked Wall Street on Wednesday, but Thursday's session showed buyers stepping in once the headline shock faded. (WSJ, Fox Business)

Bitcoin Reclaims \$77,990 as Crypto Traders Shrug Off CLARITY Setback. Bitcoin opened Friday at \$76,350.68 (0.3% above Thursday's open) and climbed to \$77,991 by 7:25 a.m. ET, while Ethereum pushed from \$2,445 to \$2,501 (a 1.2% move). The rebound comes despite the U.S. Senate blocking the CLARITY Act, a landmark crypto market-structure bill that Polymarket traders now price at just 8% to pass in 2026. DeFi tokens outperformed, with the DeFi market cap jumping 6.3% as investors looked past regulatory disappointment toward future legislation. (Yahoo Finance, CoinGabbbar, Polymarket)

Oil Retreats to \$100.55 as Iran Tensions Cool. WTI crude fell 1.33% to \$100.55 per barrel after President Trump signaled he would not revive the stalled truce with Iran — a move that, paradoxically, took geopolitical risk premium out of the market as traders priced in continued U.S. strikes rather than escalation. U.S. oil and gas production is set to hit a record as producers cash in on the global supply crunch. (WSJ, TheStreet)

Gold Sets Fresh High Above \$4,422. Spot gold added 0.53% to \$4,422.80 per ounce as the dollar index held flat at 96.29. The move reflects lingering inflation concerns and demand for hard assets after the Fed's hawkish pivot — a 25bp hike was supposed to lift yields and pressure gold, but the post-decision bid for safety tells you investors aren't convinced the Fed has finished tightening. (WSJ)

Polymarket "Nothing Ever Happens" Market at 82% Yes. The crowd-sourced 2026 baseline — which resolves "No" if any of seventeen catastrophic events occur (China invading Taiwan, U.S. invading Iran, Bitcoin hitting \$1M or \$10K, Trump acquiring Greenland, etc.) — sits at 82% Yes. It's the highest reading this year and a reminder that prediction-market traders are pricing 2026 as a year of muddling through, not tail risk. (Polymarket)

AI & TECH

Latest in artificial intelligence, models, and technology

OpenAI, Anthropic, Google DeepMind, and Nvidia Meet King Charles III at Buckingham Palace. Senior executives from the four frontier-AI companies met with the British monarch on Thursday in a striking display of AI's arrival as a

state-level concern. The closed-door session came the same week TechCrunch confirmed that OpenAI, Anthropic, and Google DeepMind have been in private AI-safety talks "for weeks" while the Trump administration pushes to keep pace with China and dismisses safety concerns as regulatory friction. (TechCrunch, CNBC, Bloomberg)

Federal Reserve Flags AI Concentration Risk, Then Hikes Anyway. In Wednesday's FOMC statement, policymakers acknowledged that "productivity growth is strong, and capital investment is robust" — Fed-speak for the AI capex boom — even as they cited "stubborn inflation" and geopolitical uncertainty as reasons to lift rates. The juxtaposition matters: the Fed is tightening into an economy being transformed by AI infrastructure spending, a setup that historically has produced sharp corrections when the cycle turns. (Fox Business)

Anthropic Publishes Threat Intelligence Report Covering Disrupted Misuse. The September 2026 report documents activity Anthropic disrupted between December 2025 and August 2026 across seven harm areas — cyber operations, influence operations, surveillance, and four others. It's the most comprehensive public accounting of frontier-model misuse patterns to date and lands the same week Anthropic confirmed talks with OpenAI and Google on shared safety infrastructure. (Anthropic)

SpaceX Stock Pops on Upcoming Orbital Starship Launch. Shares of SpaceX — already up 19% from the IPO close — gained another leg as the company confirmed an upcoming orbital Starship test. The stock is now the most-watched retail name on the market and the catalyst for Robinhood's highest-ever single-day signups last week. (Yahoo Finance)

Sanders Files "Ban Artificial Superintelligence Act" With 20-Year Prison Penalty. Senator Bernie Sanders and Rep. Greg Casar introduced the bill on September 3, built on the July OpenAI agent-security incident. It would pause advanced AI development until a new federal agency writes safety rules and borrows penalties from nuclear weapons law. Polymarket traders price the bill's passage as a low-probability event, but the legislation is the first concrete U.S. policy response to superintelligence concerns. (Polymarket, AIStockWire)

BRIEFLY

< **VIX at 15.29:** The fear gauge is well below its 19 reading from the August post-Fed-drop lows, suggesting option traders have stopped pricing imminent volatility. (WSJ)

< **South Korea's Kospi +2.7%:** Asian markets opened strong Friday, with Korea leading on semiconductor strength tied to the SK Hynix–Intel deal chatter. (Bloomberg)

< **Clarity Act (H.R.3633):** Polymarket odds dropped from 21% to 8% this week after the Senate blocked the bill — the sharpest single-week move on the market. (Polymarket)

< **U.S. 10-Year Yield:** Fell to 4.957% from above 5% as oil retreated and risk appetite returned. (WSJ)

THE TAKEAWAY

The defining story of this Friday isn't any single headline — it's the gap between what the Fed is doing and what the market believes. The Fed just delivered its first rate hike in three years and cited AI-driven productivity and capex as reasons to believe the economy can absorb tighter policy. Stocks shrugged off the hike, gold pushed to fresh highs, and crypto rallied

past the CLARITY Act's failure. That combination — tightening into strength, with hedges bid at the same time — is the classic setup for the kind of repricing that happens when one of the legs gives out. Watch the 10-year yield closely: if it breaks back above 5% next week, the equity bid will get its first real test.

Generated by Marvin